

Toning up 2026 revenue and capex guidance

TSMC (unsurprisingly) raises guidance; expresses commitment to expand capacity in due course; retain Buy

Full-year guidance lift as we expected; reiterate Buy and raise TP to TWD2,820

TSMC guided 2Q26E revenue growth of +10% q-q, at the midpoint (in USD terms; Fig. 2), with 65.5-67.5% GM, broadly in line with our preview (report), and management lifted its full-year revenue growth target to >30% (from ~30% provided in Jan-26). As the severe supply constraints in Asia AI semi and server supply chain are likely to persist throughout 2026F (report), we continue to expect fundamental upsides to TSMC and model c.35% y-y revenue growth (in USD terms), and TSMC now expects 2026E capex to fall within the upper half of its prior target of USD52-56bn to accelerate the capacity build-up progress, although most of the greenfield capacity would start coming online from 2028E given two-three years of new fab build lead time. As our new data center build trackers – which we view as a leading indicator beyond Asia supply chain data points – point to stronger 2027F chip demand (report), next year will likely be another supply-constrained year, and we thus slightly raise 2027F capex to USD70bn. Against current backdrop, we anticipate GM upsides from increased AI/HPC mix and N3 depreciation rolling off along with its cost improvement efforts. We raise 2026-28F EPS by 3-4% mainly due to higher GM assumptions and increase TP to TWD2,820, based on an unchanged 25x 2026-27F average EPS of TWD112, near the high end of the historical band of 10-30x. We reiterate our Buy rating as we believe TSMC should trade at a premium (local shares at 22x and ADR at 25x P/E, based on Bloomberg consensus EPS) to the SOX index (21x consensus P/E) due to its AI-enabler position and robust growth outlook.

Other highlights from the analyst meeting

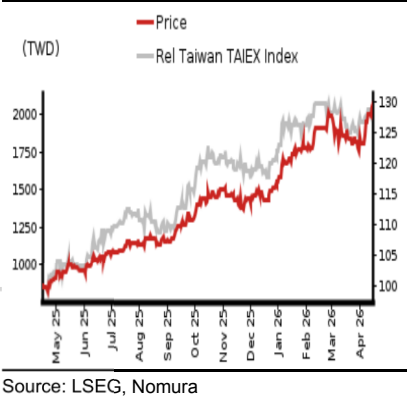
(1) **Mature nodes:** TSMC flagged that its strategy is “to optimize the capacity mix within mature nodes and focus on the higher value-added and strategic segment”, which implicitly echoes our view that TSMC could redirect more resources from legacy fabs to advanced logic beyond 2027F (which better justifies the hefty investments, in our view; report). (2) **Memory price inflation:** Although TSMC sees softer consumer device demand, it expects high-end devices to perform better to the company’s advantage, aligning with our view that Apple (AAPL US, Not rated) unit demand upside could backfill the shortfall from Androids in advanced nodes (report). (3) **Competition from “customers”:** On Tesla’s (TSLA US, Not rated) Terafab initiative, TSMC noted “there are no shortcuts” and “it takes 2-3 years to build a new fab, and another 1-2 years to ramp it up”. Admittedly customers may have other technology options (e.g. EMIB), and TSMC “works very hard to meet all the demand” and “doesn’t leave any business on the table”.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	3,809,054	5,187,791	5,218,444	6,445,033	6,501,695	7,724,125	7,875,757
Reported net profit (mn)	1,717,883	2,543,221	2,605,572	3,131,213	3,245,404	3,742,004	3,900,744
Normalised net profit (mn)	1,717,883	2,543,221	2,605,572	3,131,213	3,245,404	3,742,004	3,900,744
FD normalised EPS	66.26	98.09	100.49	120.76	125.17	144.32	150.44
FD norm. EPS growth (%)	46.4	48.0	51.7	23.1	24.6	19.5	20.2
FD normalised P/E (x)	31.4	–	20.7	–	16.6	–	13.8
EV/EBITDA (x)	19.9	–	13.4	–	10.4	–	8.2
Price/book (x)	10.0	–	7.2	–	5.4	–	4.0
Dividend yield (%)	1.1	–	1.2	–	1.2	–	1.2
ROE (%)	35.4	39.9	40.5	36.4	37.0	32.8	33.3
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating	Buy
Remains	
Target price	TWD 2,820.00
Increased from	TWD 2,735.00
Closing price	TWD 2,080.00
15 April 2026	
Implied upside	+35.6%
Market Cap (USD mn)	1,705,278.1
ADT (USD mn)	2,388.5

Relative performance chart



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Key data on Taiwan Semiconductor Manufacturing Corp

Performance					
(%)	1M	3M	12M		
Absolute (TWD)	11.5	23.1	137.2	M cap (USDmn)	1,705,278.1
Absolute (USD)	13.1	22.8	143.7	Free float (%)	90.1
Rel to Taiwan	1.6	3.9	52.2	3-mth ADT (USDmn)	2,388.5
TAIEX Index					

Income statement (TWDmn)					
Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	2,894,308	3,809,054	5,218,444	6,501,695	7,875,757
Cost of goods sold	-1,269,954	-1,527,760	-1,764,914	-2,197,973	-2,727,215
Gross profit	1,624,354	2,281,294	3,453,530	4,303,722	5,148,541
SG&A	-302,301	-345,202	-430,102	-537,687	-651,321
Employee share expense	0	0	0	0	0
Operating profit	1,322,053	1,936,092	3,023,429	3,766,035	4,497,220
EBITDA	1,984,850	2,624,188	3,833,482	4,793,160	5,827,946
Depreciation	-662,797	-688,096	-810,053	-1,027,125	-1,330,726
Amortisation	0	0	0	0	0
EBIT	1,322,053	1,936,092	3,023,429	3,766,035	4,497,220
Net interest expense	67,781	86,206	118,134	155,705	218,606
Associates & JCEs	4,879	5,497	6,693	7,952	8,171
Other income	11,125	13,868	4,003	4,000	4,000
Earnings before tax	1,405,839	2,041,663	3,152,259	3,933,692	4,727,998
Income tax	-233,407	-326,266	-545,403	-687,004	-825,970
Net profit after tax	1,172,432	1,715,397	2,606,856	3,246,688	3,902,028
Minority interests	836	2,486	-1,284	-1,284	-1,284
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	1,173,268	1,717,883	2,605,572	3,245,404	3,900,744
Extraordinary items	0	0	0	0	0
Reported NPAT	1,173,268	1,717,883	2,605,572	3,245,404	3,900,744
Dividends	-440,851	-570,516	-622,378	-622,378	-622,378
Transfer to reserves	732,417	1,147,366	1,983,194	2,623,026	3,278,367

Valuations and ratios					
Reported P/E (x)	46.0	31.4	20.7	16.6	13.8
Normalised P/E (x)	46.0	31.4	20.7	16.6	13.8
FD normalised P/E (x)	46.0	31.4	20.7	16.6	13.8
Dividend yield (%)	0.8	1.1	1.2	1.2	1.2
Price/cashflow (x)	29.5	23.7	16.8	13.1	10.8
Price/book (x)	12.6	10.0	7.2	5.4	4.0
EV/EBITDA (x)	26.6	19.9	13.4	10.4	8.2
EV/EBIT (x)	39.8	26.9	16.9	13.3	10.6
Gross margin (%)	56.1	59.9	66.2	66.2	65.4
EBITDA margin (%)	68.6	68.9	73.5	73.7	74.0
EBIT margin (%)	45.7	50.8	57.9	57.9	57.1
Net margin (%)	40.5	45.1	49.9	49.9	49.5
Effective tax rate (%)	16.6	16.0	17.3	17.5	17.5
Dividend payout (%)	37.6	33.2	23.9	19.2	16.0
ROE (%)	30.3	35.4	40.5	37.0	33.3
ROA (pretax %)	30.7	39.9	51.5	51.8	52.6

Growth (%)					
Revenue	33.9	31.6	37.0	24.6	21.1
EBITDA	36.5	32.2	46.1	25.0	21.6
Normalised EPS	39.9	46.4	51.7	24.6	20.2
Normalised FDEPS	39.9	46.4	51.7	24.6	20.2

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)					
Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,984,850	2,624,188	3,833,482	4,793,160	5,827,946
Change in working capital	-90,016	30,788	-115,583	-150,107	-229,964
Other operating cashflow	-68,657	-380,000	-504,695	-527,300	-603,363
Cashflow from operations	1,826,177	2,274,976	3,213,203	4,115,753	4,994,619
Capital expenditure	-955,112	-1,271,613	-1,774,007	-2,219,000	-2,219,000
Free cashflow	871,065	1,003,362	1,439,196	1,896,753	2,775,619
Reduction in investments	-57,882	-37,079	-30,316	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	148,151	164,299	22,412	0	0
CF after investing acts	961,334	1,130,582	1,431,292	1,896,753	2,775,619
Cash dividends	-363,055	-466,779	-596,448	-622,378	-622,378
Equity issue	0	0	0	0	0
Debt issue	55,866	40,448	14,030	0	0
Convertible debt issue	0	0	0	0	0
Others	8,054	-64,022	41,292	0	0
CF from financial acts	-299,135	-490,353	-541,126	-622,378	-622,378
Net cashflow	662,199	640,229	890,166	1,274,376	2,153,242
Beginning cash	1,465,428	2,127,627	2,767,856	3,658,022	4,932,398
Ending cash	2,127,627	2,767,856	3,658,023	4,932,398	7,085,640
Ending net debt	-1,109,340	-1,734,869	-2,641,754	-3,916,130	-6,069,372

Balance sheet (TWDmn)					
As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,127,627	2,767,856	3,658,022	4,932,398	7,085,640
Marketable securities	357,531	360,441	347,964	347,964	347,964
Accounts receivable	272,088	282,059	461,338	556,056	698,265
Inventories	287,869	288,109	401,372	482,901	612,067
Other current assets	43,237	118,664	207,452	207,452	207,452
Total current assets	3,088,352	3,817,131	5,076,149	6,526,770	8,951,388
LT investments	149,040	172,370	171,575	179,528	187,699
Fixed assets	3,234,980	3,691,841	4,735,133	5,927,008	6,815,283
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	219,565	251,682	274,192	274,192	274,192
Total assets	6,691,938	7,933,024	10,257,049	12,907,499	16,228,562
Short-term debt	59,858	136,926	156,242	156,242	156,242
Accounts payable	74,227	84,330	128,685	154,824	196,236
Other current liabilities	1,130,441	1,236,763	1,458,155	1,458,155	1,458,155
Total current liabilities	1,264,525	1,458,019	1,743,081	1,769,220	1,810,633
Long-term debt	958,429	896,062	860,026	860,026	860,026
Convertible debt	0	0	0	0	0
Other LT liabilities	145,408	118,147	154,281	154,281	154,281
Total liabilities	2,368,362	2,472,229	2,757,388	2,783,527	2,824,940
Minority interest	35,031	41,199	42,392	43,676	44,960
Preferred stock	0	0	0	0	0
Common stock	332,588	332,771	332,990	332,990	332,990
Retained earnings	3,917,252	5,103,502	7,086,797	9,709,823	12,988,190
Proposed dividends	0	0	0	0	0
Other equity and reserves	38,705	-16,676	37,482	37,482	37,482
Total shareholders' equity	4,288,545	5,419,596	7,457,269	10,080,299	13,358,662
Total equity & liabilities	6,691,938	7,933,024	10,257,049	12,907,499	16,228,562

Liquidity (x)					
Current ratio	2.44	2.62	2.91	3.69	4.94
Interest cover	-	-	-	-	-

Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share					
Reported EPS (TWD)	45.25	66.26	100.49	125.17	150.44
Norm EPS (TWD)	45.25	66.26	100.49	125.17	150.44
FD norm EPS (TWD)	45.25	66.26	100.49	125.17	150.44
BVPS (TWD)	165.37	208.99	287.57	388.71	515.13
DPS (TWD)	17.00	22.00	24.00	24.00	24.00

Activity (days)					
Days receivable	29.9	26.6	26.0	28.6	29.1
Days inventory	77.4	68.8	71.3	73.4	73.5
Days payable	18.9	18.9	22.0	23.5	23.6
Cash cycle	88.4	76.4	75.3	78.4	79.1

Source: Company data, Nomura estimates

Company profile

Founded in 1987, Taiwan Semiconductor Manufacturing Corp. is a leading foundry player with the most advanced process technology.

Valuation Methodology

Our TP of TWD2,820 is based on 25x 2026-27F average EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.

Risks that may impede the achievement of the target price

Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

ESG

TSMC officially sets “Acting with Integrity”, “Strengthening Environmental Protection”, and “Caring for the Disadvantaged” as its primary ESG mission.

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Financial analysis and forecasts

Fig. 1: TSMC's 1Q26 results vs Nomura forecasts and Bloomberg consensus

(TWD mn)	1Q26							
	Actual	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.
Revenue	1,134,103	8.4%	1,131,585	8.2%	0.2%	1,127,853	7.8%	0.6%
Gross profit	751,295	15.2%	736,404	12.9%	2.0%	733,003	12.4%	2.5%
- Opex	(94,006)	6.6%	(96,976)	10.0%	-3.1%	(101,731)	15.4%	-7.6%
Operating profit	658,966	16.7%	639,428	13.2%	3.1%	631,271	11.7%	4.4%
Pretax profit	687,800	16.1%	669,992	13.1%	2.7%	656,019	10.7%	4.8%
Net profit	572,480	13.2%	553,336	9.4%	3.5%	546,309	8.0%	4.8%
EPS (TWD)	22.08	13.2%	21.34	9.4%	3.5%	21.13	8.3%	4.5%
Margin	Actual		NMR		Diff.	BBG		Diff.
Gross margin	66.2%		65.1%		117bps	65.0%		125bps
- Opex ratio	-8.3%		-8.6%		28bps	-9.0%		73bps
Operating margin	58.1%		56.5%		160bps	56.0%		213bps
Pretax margin	60.6%		59.2%		144bps	58.2%		248bps
Net margin	50.5%		48.9%		158bps	48.4%		204bps

Note: The NMR numbers above for 1Q26 are pre-earnings.
Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: TSMC's 2Q26E guidance vs Nomura forecasts and Bloomberg consensus

(TWD mn)	2Q26E								Remarks
	Guidance	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.	
Revenue	1,255,320	10.7%	1,251,422	10.6%	0.3%	1,217,562	8.0%	3.1%	USD39.0-40.2bn FX: TWD31.7/USD
Gross profit	834,788	11.1%	826,155	12.2%	1.0%	789,614	7.7%	5.7%	
- Opex	(112,979)	20.2%	(108,498)	11.9%	4.1%	(108,554)	6.7%	4.1%	
Operating profit	721,809	9.5%	717,658	12.2%	0.6%	681,060	7.9%	6.0%	
Pretax profit			750,013	11.9%		706,476	7.7%		
Net profit			619,371	11.9%		586,481	7.4%		
EPS (TWD)			23.89	11.9%		22.56	6.8%		
Margin	Guidance		NMR		Diff.	BBG		Diff.	Remarks
Gross margin	66.5%		66.0%		48bps	64.9%		165bps	65.0-67.5%
- Opex ratio	-9.0%		-8.7%		-33bps	-8.9%		-8bps	
Operating margin	57.5%		57.3%		15bps	55.9%		156bps	56.5-58.5%
Pretax margin			59.9%			58.0%			
Net margin			49.5%			48.2%			

Note: The NMR numbers above for 2Q26 are pre-earnings.
Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 3: TSMC — 2026-28F forecast revisions

(TWD mn)	2026F			2027F			2028F		
	Revised	Previous	Change	Revised	Previous	Change	Revised	Previous	Change
Revenue	5,218,444	5,187,791	0.6%	6,501,695	6,445,033	0.9%	7,875,757	7,724,125	2.0%
Gross profit	3,453,530	3,396,964	1.7%	4,303,722	4,174,885	3.1%	5,148,541	4,966,458	3.7%
Operating profit	3,023,429	2,945,512	2.6%	3,766,035	3,614,127	4.2%	4,497,220	4,290,219	4.8%
Pretax profit	3,152,259	3,079,717	2.4%	3,933,692	3,792,129	3.7%	4,727,998	4,532,436	4.3%
Net profit	2,605,572	2,543,221	2.5%	3,245,404	3,131,213	3.6%	3,900,744	3,742,004	4.2%
EPS (TWD)	100.49	98.09	2.5%	125.17	120.76	3.6%	150.44	144.32	4.2%
Margin	Revised	Previous	Change	Revised	Previous	Change	Revised	Previous	Change
Gross margin	66.2%	65.5%	70bps	66.2%	64.8%	142bps	65.4%	64.3%	107bps
Operating margin	57.9%	56.8%	116bps	57.9%	56.1%	185bps	57.1%	55.5%	156bps
Pretax margin	60.4%	59.4%	104bps	60.5%	58.8%	166bps	60.0%	58.7%	135bps
Net margin	49.9%	49.0%	91bps	49.9%	48.6%	133bps	49.5%	48.4%	108bps

Source: Nomura estimates

Fig. 4: TSMC's P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Revenue	839,254	933,792	989,918	1,046,090	1,134,103	1,267,707	1,375,318	1,441,316	1,469,911	1,598,581	1,695,969	1,737,233	3,809,054	5,218,444	6,501,695	7,875,757
Revenue (USD mn)	25,526	30,070	33,097	33,731	35,898	39,991	43,385	45,467	46,369	50,428	53,501	54,802	122,424	164,742	205,101	248,447
Gross profit	493,395	547,369	588,543	651,987	751,295	845,574	908,671	947,990	977,283	1,058,310	1,124,428	1,143,700	2,281,294	3,453,530	4,303,722	5,148,541
- Opex	(85,186)	(84,508)	(87,764)	(88,191)	(94,006)	(104,839)	(113,738)	(119,196)	(121,561)	(132,202)	(140,256)	(143,668)	(345,650)	(431,779)	(537,687)	(651,321)
Operating profit	407,081	463,424	500,685	564,902	658,966	740,735	794,933	828,794	855,722	926,108	984,172	1,000,032	1,936,092	3,023,429	3,766,035	4,497,220
Pretax profit	430,895	493,035	525,369	592,363	687,800	772,101	828,067	864,291	893,286	966,334	1,027,235	1,046,838	2,041,663	3,152,259	3,933,692	4,727,998
Net profit	361,564	398,273	452,301	505,744	572,480	636,945	683,129	713,018	736,927	797,232	847,514	863,731	1,717,883	2,605,572	3,245,404	3,900,744
EPS (TWD)	13.95	15.36	17.44	19.51	22.08	24.57	26.35	27.50	28.42	30.75	32.69	33.31	66.26	100.49	125.17	150.44
Profitability	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Gross margin	58.8%	58.6%	59.5%	62.3%	66.2%	66.7%	66.1%	65.8%	66.5%	66.2%	66.3%	65.8%	59.9%	66.2%	66.2%	65.4%
- Opex ratio	-10.2%	-9.1%	-8.9%	-8.4%	-8.3%	-8.3%	-8.3%	-8.3%	-8.3%	-8.3%	-8.3%	-8.3%	-9.1%	-8.3%	-8.3%	-8.3%
Operating margin	48.5%	49.6%	50.6%	54.0%	58.1%	58.4%	57.8%	57.5%	58.2%	57.9%	58.0%	57.6%	50.8%	57.9%	57.9%	57.1%
Pretax margin	51.3%	52.8%	53.1%	56.6%	60.6%	60.9%	60.2%	60.0%	60.8%	60.4%	60.6%	60.3%	53.6%	60.4%	60.5%	60.0%
Net margin	43.1%	42.7%	45.7%	48.3%	50.5%	50.2%	49.7%	49.5%	50.1%	49.9%	50.0%	49.7%	45.1%	49.9%	49.9%	49.5%
Q-Q	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F				
Revenue	-3.4%	11.3%	6.0%	5.7%	8.4%	11.8%	8.5%	4.8%	2.0%	8.8%	6.1%	2.4%				
Revenue (in USD)	-5.1%	17.8%	10.1%	1.9%	6.4%	11.4%	8.5%	4.8%	2.0%	8.8%	6.1%	2.4%				
Gross profit	-3.7%	10.9%	7.5%	10.8%	15.2%	12.5%	7.5%	4.3%	3.1%	8.3%	6.2%	1.7%				
Operating profit	-4.4%	13.8%	8.0%	12.8%	16.7%	12.4%	7.3%	4.3%	3.2%	8.2%	6.3%	1.6%				
Pretax profit	-4.0%	14.4%	6.6%	12.8%	16.1%	12.3%	7.2%	4.4%	3.4%	8.2%	6.3%	1.9%				
Net profit	-3.5%	10.2%	13.6%	11.8%	13.2%	11.3%	7.3%	4.4%	3.4%	8.2%	6.3%	1.9%				
Y-Y	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Revenue	41.6%	38.6%	30.3%	20.5%	35.1%	35.8%	38.9%	37.8%	29.6%	26.1%	23.3%	20.5%	31.6%	37.0%	24.6%	21.1%
Revenue (in USD)	35.3%	44.4%	40.8%	25.5%	40.6%	33.0%	31.1%	34.8%	29.2%	26.1%	23.3%	20.5%	35.9%	34.6%	24.5%	21.1%
Gross profit	56.9%	52.8%	34.0%	27.2%	52.3%	54.5%	54.4%	45.4%	30.1%	25.2%	23.7%	20.6%	40.4%	51.4%	24.6%	19.6%
Operating profit	63.5%	61.7%	38.8%	32.7%	61.9%	59.8%	58.8%	46.7%	29.9%	25.0%	23.8%	20.7%	46.4%	56.2%	24.6%	19.4%
Pretax profit	61.7%	61.0%	36.7%	32.0%	59.6%	56.6%	57.6%	45.9%	29.9%	25.2%	24.1%	21.1%	45.2%	54.4%	24.8%	20.2%
Net profit	60.3%	60.7%	39.1%	35.0%	58.3%	59.9%	51.0%	41.0%	28.7%	25.2%	24.1%	21.1%	46.4%	51.7%	24.6%	20.2%

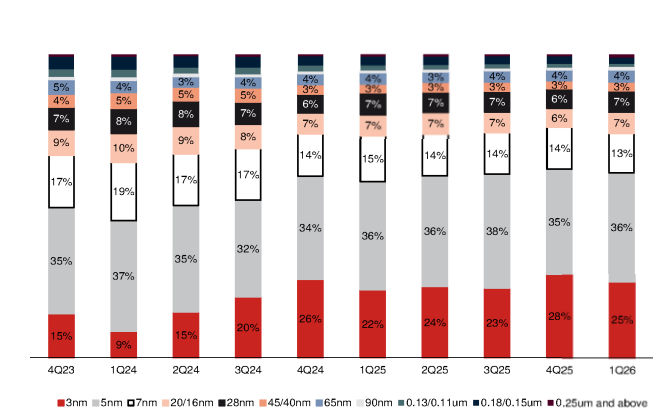
Source: Company data, Nomura estimates

Fig. 5: Nomura forecasts vs Bloomberg consensus for 2026-28F

(TWD mn)	2026F			2027F			2028F		
	NMR	BBG	Diff.	NMR	BBG	Diff.	NMR	BBG	Diff.
Revenue	5,218,444	5,114,703	2.0%	6,501,695	6,439,682	1.0%	7,875,757	7,954,877	-1.0%
Gross profit	3,453,530	3,283,026	5.2%	4,303,722	4,107,229	4.8%	5,148,541	5,060,574	1.7%
Operating profit	3,023,429	2,843,762	6.3%	3,766,035	3,593,262	4.8%	4,497,220	4,466,352	0.7%
Pretax profit	3,152,259	2,949,014	6.9%	3,933,692	3,707,900	6.1%	4,727,998	4,595,973	2.9%
Net profit	2,605,572	2,452,536	6.2%	3,245,404	3,084,851	5.2%	3,900,744	3,805,380	2.5%
EPS (TWD)	100.49	91.84	9.4%	125.17	114.67	9.2%	150.44	139.58	7.8%
Margin	NMR	BBG	Diff.	NMR	BBG	Diff.	NMR	BBG	Diff.
Gross margin	66.2%	64.2%	199bps	66.2%	63.8%	241bps	65.4%	63.6%	176bps
Operating margin	57.9%	55.6%	234bps	57.9%	55.8%	213bps	57.1%	56.1%	96bps
Pretax margin	60.4%	57.7%	275bps	60.5%	57.6%	292bps	60.0%	57.8%	226bps
Net margin	49.9%	48.0%	198bps	49.9%	47.9%	201bps	49.5%	47.8%	169bps

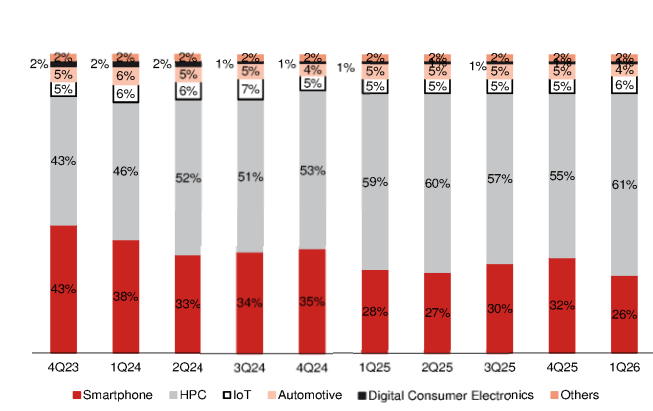
Source: Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 6: TSMC wafer revenue mix by technology



Source: Company data, Nomura research

Fig. 7: TSMC revenue mix by platform



Source: Company data, Nomura research

Fig. 8: TSMC's quarterly revenue breakdown

USD mn	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
Wafer revenue by technology										
3nm	2,465	1,447	2,786	4,020	6,007	4,872	6,030	6,640	8,006	7,718
5nm	5,929	6,073	6,479	6,351	7,918	7,738	9,328	10,805	10,082	11,114
10/7nm	2,916	3,197	3,126	3,407	3,256	3,291	3,512	3,920	4,023	4,013
20/16nm	1,450	1,588	1,662	1,594	1,589	1,476	1,834	1,959	1,804	2,161
28nm	1,257	1,370	1,563	1,470	1,457	1,604	1,758	1,980	1,889	2,161
45/40nm	724	863	853	924	740	618	811	877	768	926
65nm	806	678	641	746	836	808	896	1,089	1,079	1,235
90nm	158	176	173	161	161	156	160	186	183	309
0.13/0.11um	425	408	368	416	443	373	415	409	369	309
0.18/0.15um	695	698	674	741	716	645	707	759	723	617
0.25um and above	118	122	109	131	132	136	163	161	163	309
Total wafer revenue	16,943	16,620	18,433	19,959	23,254	21,718	25,615	28,785	29,089	30,873
Sequential change	13.3%	-1.9%	10.9%	8.3%	16.5%	-6.6%	17.9%	12.4%	1.1%	6.1%
Technology mix										
3nm	15%	9%	15%	20%	26%	22%	24%	23%	28%	25%
5nm	35%	37%	35%	32%	34%	36%	36%	38%	35%	36%
10/7nm	17%	19%	17%	17%	14%	15%	14%	14%	14%	13%
20/16nm	9%	10%	9%	8%	7%	7%	7%	7%	6%	7%
28nm	7%	8%	8%	7%	6%	7%	7%	7%	6%	7%
45/40nm	4%	5%	5%	5%	3%	3%	3%	3%	3%	3%
65nm	5%	4%	3%	4%	4%	4%	3%	4%	4%	4%
90nm	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
0.13/0.11um	3%	2%	2%	2%	2%	2%	2%	1%	1%	1%
0.18/0.15um	4%	4%	4%	4%	3%	3%	3%	3%	2%	2%
0.25um and above	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
Net revenue by platform										
HPC	8,378	8,750	10,864	12,045	14,284	15,002	18,070	18,676	18,701	21,898
Smartphone	8,444	7,166	6,880	7,967	9,289	7,105	8,049	9,921	10,657	9,334
IoT	1,055	1,125	1,155	1,555	1,319	1,178	1,426	1,780	1,766	2,154
Automotive	1,004	1,023	1,043	1,104	1,169	1,309	1,386	1,691	1,613	1,436
DCE	277	374	437	353	331	351	483	402	304	359
Others	465	434	444	481	493	581	655	626	690	718
Net revenue	19,624	18,873	20,822	23,504	26,884	25,526	30,070	33,097	33,731	35,898
Sequential change	13.6%	-3.8%	10.3%	12.9%	14.4%	-5.1%	17.8%	10.1%	1.9%	6.4%
Platform mix										
HPC	43%	46%	52%	51%	53%	59%	60%	56%	55%	61%
Smartphone	43%	38%	33%	34%	35%	28%	27%	30%	32%	26%
IoT	5%	6%	6%	7%	5%	5%	5%	5%	5%	6%
Automotive	5%	5%	5%	5%	4%	5%	5%	5%	5%	4%
DCE	1%	2%	2%	2%	1%	1%	2%	1%	1%	1%
Others	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%

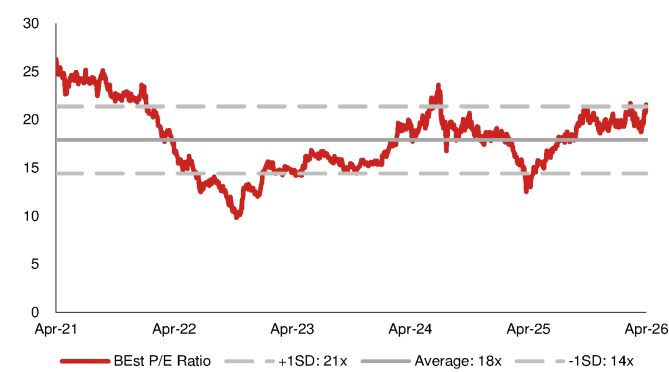
Note: 1Q26 figures are preliminary (unaudited).
Source: Company data, Nomura estimates

Valuation methodology and risks

We raise our TP for TSMC to TWD2,820, which is based on 2026-27F average EPS of TWD112, near the high end of the company's historical trading band of 10-30x.

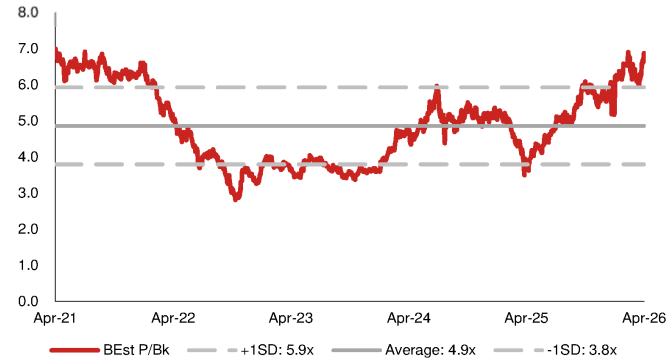
Major downside risks: 1) top-down macro issues owing to ongoing US-China trade tensions; 2) weaker-than-expected sell-through compared with the strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

Fig. 9: TSMC's consensus P/E ratio



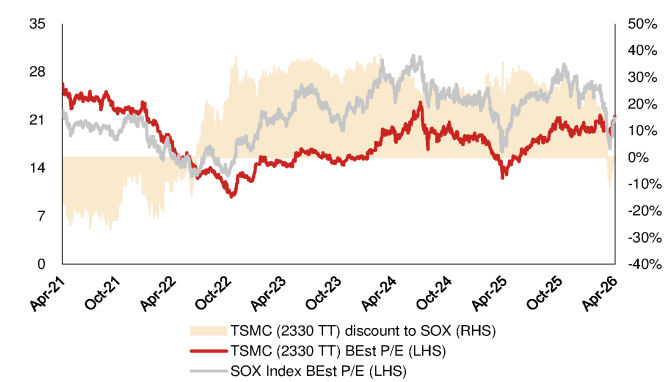
Source: Bloomberg Finance LP, Nomura research

Fig. 10: TSMC's consensus P/B ratio



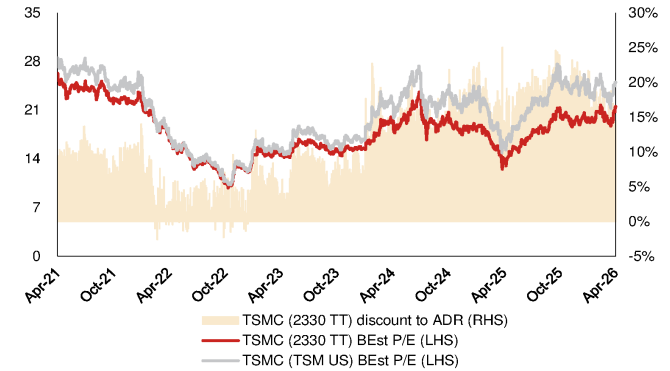
Source: Bloomberg Finance LP, Nomura research

Fig. 11: TSMC— valuation vs. SOX Index



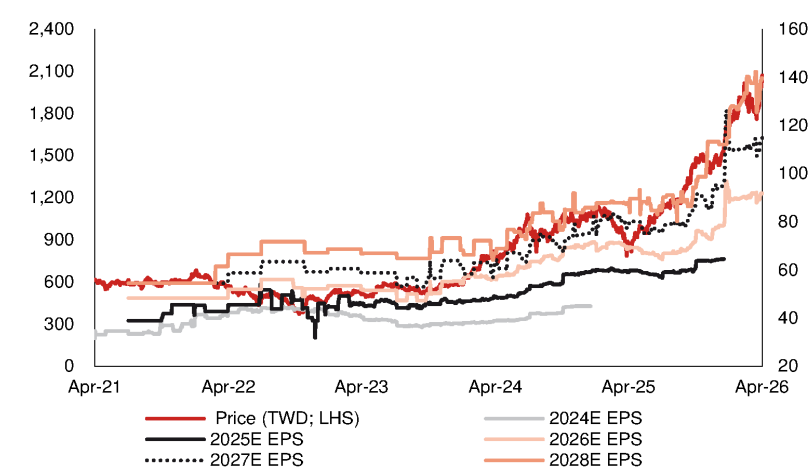
Source: Bloomberg Finance LP, Nomura research

Fig. 12: TSMC— valuation vs. TSMC's ADR



Source: Bloomberg Finance LP, Nomura research

Fig. 13: TSMC's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg Finance L.P. consensus estimates, Nomura research

TSMC: 1Q26 analysts briefing summary

Below comments are from TSMC's management:

Results summary

- 1Q26 revenue was up 8.4% q-q (in TWD terms), as the business was supported by the strong demand for advanced nodes. Revenue in USD terms was at USD35.9bn (+6.4% q-q) vs. guidance of USD34.6-35.8bn.
- GM was up 3.9pp q-q to 66.2%, primarily due to cost improvement efforts, favorable FX and a high UTR (vs. GM guidance of 63-65%).
- Opex was at 8.3% of the revenue (vs. 8.4% in 4Q25) mainly due to operating leverage, and OpM was up 4.1pp q-q to 58.1% vs. guidance of 54-56%.
- 1Q26 wafer revenue by technology
 - 3nm 25%, 5nm 36% and 7nm 13%
 - Advanced nodes (7nm and below) at 74%
- 1Q26 revenue by platform
 - High performance computing (HPC) was up 20% q-q to account for 61% of revenue
 - Smartphone was down 11% q-q to 26% of revenue
 - IoT grew 12% q-q to 6% of revenue
 - Automotive was down 7% q-q to 4% of revenue
 - Digital Consumer Electronics (DCE) was up 28% q-q to 1% of revenue
- Balance sheet and cash flow line items
 - AR turnover was flat q-q at 26 days.
 - Inventory days were up six days q-q to 80 days primarily due to N2 ramp-up and stronger N3 demand.
 - Capex was at USD11.10bn in 1Q26.
- Guidance
 - 2Q26E revenue to be USD39.0-40.2bn, +10% q-q or +32% y-y at the midpoint.
 - FX at TWD31.70/USD
 - GM at 65.5-67.5%
 - OPM at 56.5-58.5%
 - Due to undistributed retained earnings accrual, the quarter will have a tax rate of 20%. Expects 17-18% in 2026.

CFO's key messages

- 1Q26 GM rose 390bp q-q to 66.2%, primarily due to cost improvement efforts, favorable FX and a higher UTR. Actual GM was above the guidance by 120bp, mainly due to a higher UTR and better cost improvement efforts.
- At the midpoint of 2Q26 guidance, GM will be up 30bp q-q to 66.5% primarily due to higher UTR and continued cost improvement (including productivity gains), partially offset by overseas fab dilution.
- 2H26E GM puts and takes
 - The initial ramp-up of 2nm will have 2-3% dilution for the full year 2026. The impact will start kicking in from 2H26.
 - On the other hand, TSMC continues to estimate GM dilution from overseas fab ramp-up in coming years to be 2-3% in the early stage, and 3-4% in the latter stage.
 - Prices of certain chemicals and gases are likely to increase due to the recent situation in the Middle East, and there might be the impact on TSMC's profitability. But it is too early to quantify the impact.
 - TSMC is also driving greater productivity for more wafer outputs, across-node capacity optimization.
 - N3 GM will cross over the corporate average in 2H26.
 - TSMC has no control over FX, but that could be another factor in 2026.
- Material and energy
 - In terms of material supply, TSMC's strategy is to continuously develop multi-source supply solutions to build a well-diversified global supplier base and to improve the local supply chain.

- For specialty chemicals and gases like helium and hydrogen, TSMC sources from multiple suppliers in different regions and has prepared safety stock inventory on hand.
- In terms of energy, TSMC works closely with Taiwan Power and the Taiwan government to ensure a stable and sufficient energy supply.
- The Taiwan government has announced it has secured sufficient LNG supply through at least May and is actively working on securing further LNG supply, diversifying sourcing to other regions and other power backup plans. TSMC does not expect any near-term disruption to operations.
- Capex plan
 - Capex is correlated with the growth opportunities in following years.
 - Expects capex to be toward the high end of USD52-56bn range as it continues to invest heavily to support customer growth.
 - Remains committed to delivering profitable growth and a sustainable and steadily increasing cash dividend per share on both annual and quarterly basis.

CEO's key message

- Near-term demand outlook
 - Expects 2Q26 business to be supported by the strong demand for leading-edge technologies.
 - Mindful of the impact of rising component prices especially in consumer and price-sensitive market segments. Recent situation in the Middle East also adds to macro uncertainty, and TSMC is prudent in business planning and focuses on the fundamentals of its business.
 - AI demand is robust and driving computation and demand for leading-edge silicon. TSMC's conviction on the multi-year AI mega-trend is high, and believes that the demand for semiconductors will continue to be very fundamental.
 - Now expects TSMC's 2026E revenue to grow >30% y-y in USD terms.
- N2
 - Prioritizes the land in Taiwan to support the ramp-up of the new node due to the need for tight integration with R&D operations.
 - N2 has entered high volume manufacturing in 4Q25 with good yields. N2 is ramping up successfully in multiple phases at Kaohsiung and Hsinchu with demand from Smartphone and HPC.
 - With N2P and A16, the N2 family will be another large and long-lasting node.
- N3
 - Historically TSMC did not add additional capacity to a node once it reached its targeted capacity.
 - But TSMC's first responsibility is to provide customers with the most advanced technologies and necessary capacity to unleash their innovations.
 - TSMC is stepping up capex to increase N3 capacity, with global capacity plan to support the robust multiyear pipeline of demand from smartphone, AI/HPC (including HBM base dies), automotive and IoT.
 - Will add a new N3 fab to TSMC's Tainan GigaFab cluster whose volume production is scheduled for 1H27.
 - The second fab in Arizona, US, will also utilize 3nm. Construction is already complete and volume production will begin in 2H27.
 - Now plans to utilize 3nm technology in the second fab in Japan and volume production is scheduled in 2028.
 - In addition to all new fabs, TSMC continues to convert N5 tools to support N3 capacity in Taiwan. It is also leveraging manufacturing excellence to drive greater productivity across fabs to generate more output. TSMC also focuses on capacity optimization across nodes, including flexible capacity support among N7/N5/N3.
 - TSMC emphasizes that while the capacity is tight, it does not pick or choose and play fairness among customers.
- Mature node
 - The strategy with mature nodes is unchanged. TSMC's focus is to build a high-yield capacity for specialized technologies (e.g. CMOS image sensor in Japan and ESMC in Germany for automotive and industrial).
 - Has the plan to wind down Fab 2 (6") and Fab 5 (8") and use available spaces to optimize the support of leading-edge applications.

- TSMC still has enough capacity to fully support existing customers without Fab 2 and Fab 5.
- It continues to optimize the capacity mix within mature nodes and focus on the higher value-added and strategic segments by ensuring a necessary capacity to support customers' growth.
- A14
 - A14 is based on the 2nd generation nanosheet architecture and is a full-node stride from N2.
 - Compared to N2, A14 has 10-15% speed gain (iso-power) and 25-30% power saving (iso-speed) with close to 20% chip density gain.
 - A14 development is on track and progresses well with high level of customer interest from smartphone and HPC. Volume production is scheduled in 2028.

Q&A

- Outlook
 - Memory price inflation has some impacts on price-sensitive end markets, especially PC and smartphone. TSMC does see a bit softer market, but all the high-end smartphones continue to do better which is to TSMC's advantage.
 - TSMC will provide details about how much it could grow in revenue this year at the July analyst meeting.
- AI
 - AI demand is very strong with positive signals from customers and “customers of its direct customers”. AI accelerator could be growing at the high-end of the mid-to high-50% CAGR TSMC guided before.
 - CPUs are more important for today's data centers. TSMC is unable to identify where the CPU goes, and thus does not include CPUs in the AI/HPC revenue calculation.
- 3nm
 - HPC/AI is the application driving the demand.
 - Expects N3 GM to reach and cross corporate GM level in 2H26. When the node is fully depreciated, GM will be very high. TSMC has no numbers to provide.
- Capex/Capacity planning
 - TSMC lifted the guidance to the upper half of the range due to very robust demand, especially from HPC/AI. TSMC tries hard to speed up and pull in equipment as it can. But supply is tight, and TSMC has to work with suppliers to speed it up.
 - Demand continues to be robust, and the number continues to increase. TSMC checks with customers and CSPs (the customers of customers) with positive feedback on the outlook. TSMC has to accelerate the build of clean room and the purchase of tools - simply because AI demand is significantly strong.
 - It takes 2-3 years to build a new fab and ramp it up. In the meantime (i.e. 2027), the capacity will be tight and TSMC recently announced the decision to build three new fabs.
 - TSMC does not have a long-term capex number to share. Capex in the next three years will be significantly higher than that in the past three years.
 - TSMC works with suppliers and views them as partners. It continues to work with ASML, Applied Materials, Lam Research (LRCX US, Not rated), etc. and it is happy with their support.
 - In the past three years, revenue growth has outpaced capex growth. As long as TSMC does its job right, revenue growth should be outpacing that of capex. TSMC does not expect a sudden surge in capital intensity in the next several years.
 - TSMC prepares capacity to meet customer demand, not because of competition or other factors, but the only factor is demand, and that is the basis of capex.
 - TSMC acquired the second piece of land in Arizona because it needs the land to build fabs and meet the multi-year demand from US customers. TSMC works hard to speed up the progress since it has gained more experience in Arizona. TSMC believes that it could improve the cost structure.
- Competition
 - Both Intel (INTC US, Not rated) and Tesla (TSLA US, Not rated) are TSMC's customers, and they are competitors. Intel is a formidable competitor. All being

said, there is no shortcut to the foundry game: technology leadership, manufacturing excellence, customer trust and mostly importantly customer service. It takes two-three years to build a fab and another one-two years to ramp it up. They are TSMC's customers, and the company is confident about its own technology position. TSMC is building up new fabs to meet customers' demand.

- TSMC is working with the customer for its next generation language processing unit (LPU).
- Advanced packaging
 - TSMC supplies the largest reticle-size packages and understands competitors also have attractive schemes. TSMC works with all the customers and does not leave any business on the table. It is working hard to meet all customers' demand and is also developing large reticle size packaging technologies.
 - Today TSMC has large reticle-size CoWoS and is working on CoPoS to ensure capacity support for customers at reasonable costs. TSMC has built a mini line for CoPoS and expects production in a couple of years.
 - Large-size CoWoS is the major approach, and together with TSMC's SoW, they are the best options for customers' products in the market.
 - TSMC's priority is to support customers and ensure their products could be delivered by the company's front-end and advanced packaging. Advanced packaging capacity is tight, and TSMC has to work with OSAT partners to ensure the support. It also tries hard to increase its own capacity.
 - Warpage are challenges, but TSMC has more experience from supporting the leading-edge areas. TSMC is confident that it could work with customers to resolve the issue and meet their demand trajectory.
- Profitability
 - TSMC has revised up long-term GM (to "56% and above") and ROE target (to high-20%) through the cycle.
 - TSMC also views customers as partners. The company knows its value and position, but customers are very important partners. TSMC does not change its pricing scheme significantly. Customer success is the No.1 consideration and customers are TSMC's partners.

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